Sazgar Engineering Works Limited

SAZEW | PSX | PSX: SAZEW | Automobile Assembler

BUY | Fair value 2,289 PKR | Price 1,394.80

Rating	Fair value	Range	12m target	Price	Exp. return	Confidence
BUY	**2,289**	**1,102-3,318**	**2,724**	**1,394.80**	**99.4%**	**MEDIUM**

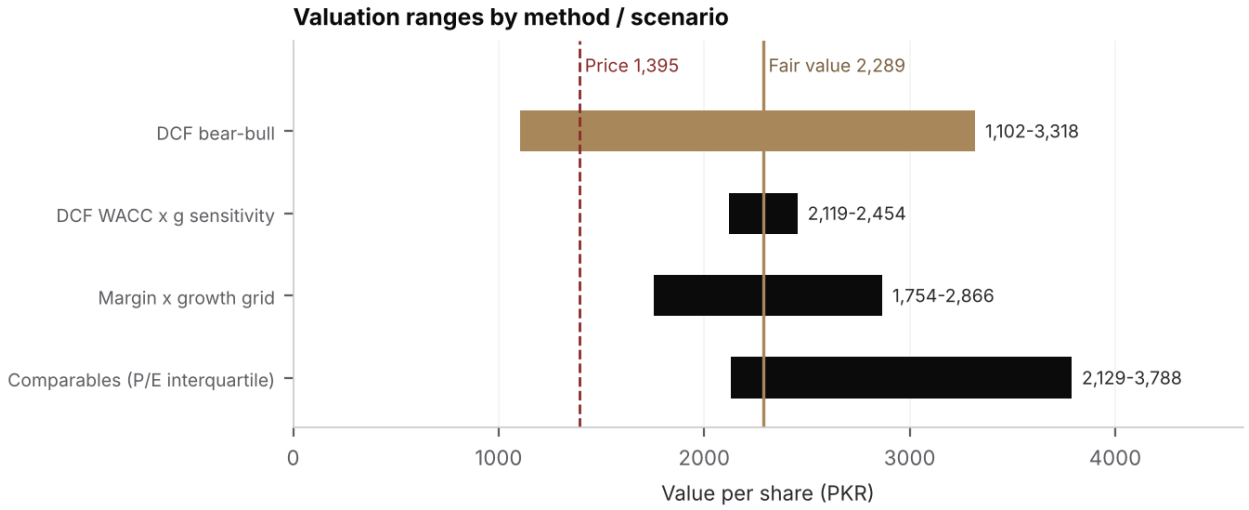
Priced for a collapse in local assembly: at PKR 1,394.80 the market implies shrinking sales; we value SAZEW at PKR 1,102-3,318 (central PKR 2,289, probability-weighted PKR 2,239), but the Auto Policy 2026-31 outcome is close to binary

Security identification

Item	Detail
Issuer	Sazgar Engineering Works Limited
Ticker / exchange	SAZEW / PSX
Identifier / classification	PSX: SAZEW / Automobile Assembler
Reference price	1,394.80 PKR at 2026-11-02T15:49:00+05:00 - PSX data portal quote [EV-0001]
Information cutoff	2026-11-02T20:10:29+00:00
Latest financial period	FY2026 (ended 2026-06-30); interim to 2026-09-30 (TTM computed)
Reporting currency / basis	PKR; IFRS (Pakistan) - PDF extraction
Investment horizon	12-24 months view; explicit forecast 7 years + terminal value
Document status	FINAL_VALIDATED

Executive summary

- Sazgar has become a scaled four-wheeler assembler for GWM (Haval, Tank, ORA) and BAIC on top of its three-wheeler franchise: FY26 revenue was PKR 191,715m (+76.4%) and net profit PKR 23,605m, EPS 390.51 [EV-0002, EV-0027].
- The share trades at 3.6x trailing earnings with net cash of about PKR 10.2bn at 30 September 2026 [EV-0001, EV-0003]. Reverse DCF: holding our margins, the price requires revenue to shrink about 2.0% a year for seven years, or EBIT margins of about 9.0% against 13.7% in our base case.
- Our base case (revenue +12% in FY27E, EBIT margin fading from 15.0% to 12.5%, 21.5% cost of equity in PKR) gives a DCF value of PKR 2,268 and a reliability-weighted fair value of PKR 2,289; the bear and bull cases span PKR 1,102 to PKR 3,318 (interpretation: the margin of safety exists even in the bear case, but not in the policy-stress case of PKR 559).
- The near-term trend is weakening, not improving: Q1 FY27 four-wheeler units fell 11.81% while three-wheelers rose 44.69%, and the company absorbed the sales-tax rise on hybrids, cutting operating profit to PKR 6,148m from PKR 6,809m [EV-0010, EV-0003].
- The decisive variable is policy: customs duties on imported CBU vehicles were reduced from July 2026 and the Auto Policy 2026-31 was still pending at quarter end; management itself warns of declining local production without an adequate tariff differential [EV-0010].



Source: platform valuation engine; price PSX data portal quote [EV-0001]. Bars show the bear-to-bull range for DCF and the full WACC x growth sensitivity range; comps bar shows peer interquartile-implied values where available.

1. Investment view, thesis and variant perception

View: POSITIVE. Rating: BUY - expected 12m total return 99.4% vs cost of equity 21.5% (BUY > ke+10pp, SELL < ke-10pp).

Thesis pillar	Argument	Evidence
The price discounts a structural collapse that the evidence does not (yet) show	At 3.6x trailing earnings the market requires about -2.0% annual revenue decline or a 9.0% EBIT margin to justify the price. Q1 FY27 revenue still grew to PKR 41,711m from PKR 33,825m and the order book shifted towards higher-value models (favourable mix) [EV-0010]. Our base case already haircuts margins from 19.0% (FY26) to 12.5% (interpretation).	EV-0010, EV-0002, EV-0001
Capacity, product pipeline and balance sheet give room to absorb a downturn	The PKR 11.50bn four-wheeler expansion is complete (capacity 54,000 units a year on a single shift) and a further PKR 22.00bn plan (fully automatic paint shop) was approved; new CKD PHEV/HEV models (Haval H6 PHEV, Tank 500 PHEV and HEV) were launched [EV-0004, EV-0027]. Cash of PKR 18,041m against debt of about PKR 7.8bn at 30 September 2026 and an A+ credit rating (VIS) reduce financing risk [EV-0003, EV-0027].	EV-0004, EV-0027, EV-0003
Three-wheelers are a cash-generative hedge against the car cycle	Three-wheeler units rose 44.69% in Q1 FY27 and revenue from the segment rose to PKR 3,135.79m from PKR 2,017.87m; management expects the segment to remain an important contributor, with exports being pursued (Japan among markets) [EV-0010, EV-0004]. It is small (about 8% of Q1 sales) so it cushions rather than offsets a four-wheeler downturn (interpretation).	EV-0010, EV-0004

What appears priced in

The reverse DCF on the same model shows the PKR 1,394.80 price is consistent with revenue falling about 2.0% a year over seven years at our margins, or with an average EBIT margin of about 9.0% at our growth (base case 13.7%). Peers on the PSX trade at a median 6.1x trailing P/E versus about 3.6x for SAZEW [EV-0021, EV-0022, EV-0024, EV-0025, EV-0001]. The market is therefore pricing a sharp loss of competitiveness for locally assembled vehicles (interpretation), consistent with the CBU duty cuts and the pending Auto Policy flagged by management [EV-0010]. Caveat on the cross-check: the comparables value (median P/E 6.1x applied to trailing net profit of PKR 23,223m) uses near-peak earnings, so it embeds cyclical optimism; on normalised earnings it would be lower, and it is used only as a cross-check (30% methodology weight).

Where our analysis differs (variant perception)

We agree the FY25-FY26 margins (23.6% and 19.0% EBIT) were cyclical peaks and build in further compression to 12.5%. Where we differ is on volume: the evidence shows a mix-driven revenue increase in Q1 FY27, completed capacity, new PHEV/HEV CKD models and a growing three-wheeler business [EV-0010, EV-0027, EV-0004], whereas the price implies outright shrinkage. Our view is an interpretation of policy outcomes that are not yet known; if the Auto Policy materially narrows the tariff differential the market will be right (see stress case).

What must happen for upside / downside

Upside requires: Upside to our PKR 2,268-3,318 range requires an Auto Policy that preserves a meaningful CKD/CBU tariff differential, recovery in four-wheeler units with the new PHEV/HEV models, margins holding near 15% rather than falling to the 9% the price implies, and a normalisation of working capital as the expansion completes [EV-0010, EV-0027].

Downside triggers: A policy that sharply narrows tariff protection, continued four-wheeler unit declines while the industry grows, further absorbed taxes, or an inventory write-down. Our bear case (growth -8pp, margin -4pp, WACC +0.5pp) gives PKR 1,102 and the stress case PKR 559.

What would falsify the thesis

- Auto Policy 2026-31 cuts the CKD/CBU tariff differential materially and monthly four-wheeler units fall more than 25% year on year for two consecutive quarters.
- EBIT margin below 10% for two consecutive quarters without a one-off explanation.
- Operating cash flow negative for FY27 while capex stays above PKR 10bn, forcing new borrowing or a dividend cut.

Assumptions that dominate valuation uncertainty

- EBIT margin path (base 15.0% to 12.5%): each 1pp shift in every year moves value by about 8% (engine margin x growth grid: PKR 2,084 to PKR 2,452 for -1pp/+1pp).
- Revenue growth path, which depends on the Auto Policy outcome: each 1pp in every year moves value by about 4% (PKR 2,177 to PKR 2,364).
- Cost of equity of 21.5% (including the 9.71% Pakistan country risk premium) and the 5.0% nominal PKR terminal growth assumption; terminal value is 42% of EV.
- Whether trailing earnings are a cyclical peak: the comparables cross-check is on trailing (near-peak) earnings.

2. Business and industry analysis

Business

Sazgar assembles and markets four-wheelers under Chinese brands BAIC and GWM (Haval, Tank, ORA) through 20+ four-wheeler dealers, three-wheelers (auto-rickshaws, petrol and EV variants) under the SAZGAR brand through 50+ booking agents, and automotive parts (tractor wheel rims mainly for Millat Tractors and Al-Ghazi Tractors) [EV-0027, EV-0004]. No customer exceeds 10% of sales and exports were only PKR 78.34m in FY26 [EV-0027]. The home-appliances business was discontinued from 1 September 2025 [EV-0004]. Revenue is almost entirely domestic and four-wheelers were PKR 38,443.07m of PKR 41,711m Q1 FY27 sales, so the company is effectively a single-country, single-segment cyclical [EV-0010]. Customer advances are a key funding source: trade and other payables were PKR 28,193m at 30 September 2026, against stock-in-trade of PKR 41,771m [EV-0003] - a sudden slowdown in bookings would reverse this funding (interpretation).

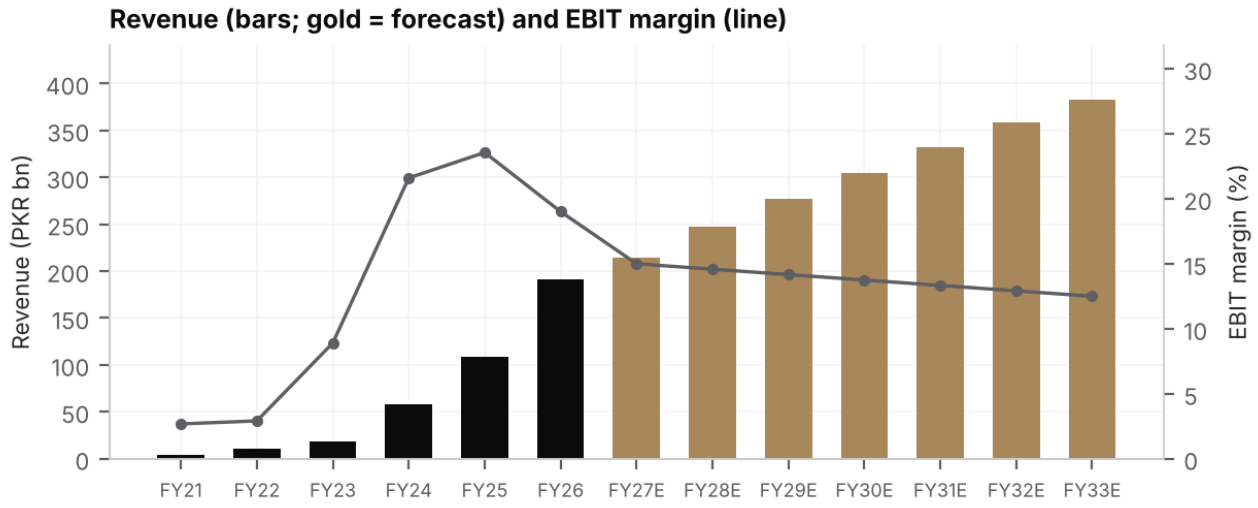
Industry and competitive position

Industry volumes are recovering: auto sector sales rose 27.71% in Q1 FY27 and four-wheelers (excluding tractors) 20.57% (source cited by the company: RAMA) [EV-0010]. Sazgar's four-wheeler units nevertheless fell 11.81%, implying share loss in the quarter (interpretation), which management links to delayed Auto Policy finalisation hitting NEV bookings [EV-0010]. Competition is intensifying with new manufacturers, expansion of existing assemblers and the shift to NEVs [EV-0005]. Key input exposures are CKD kit availability and prices, and PKR depreciation; the annual report quantifies the sensitivity of pre-tax profit to a 1% PKR move on foreign-currency balances (financial risk note) [EV-0007, EV-0002].

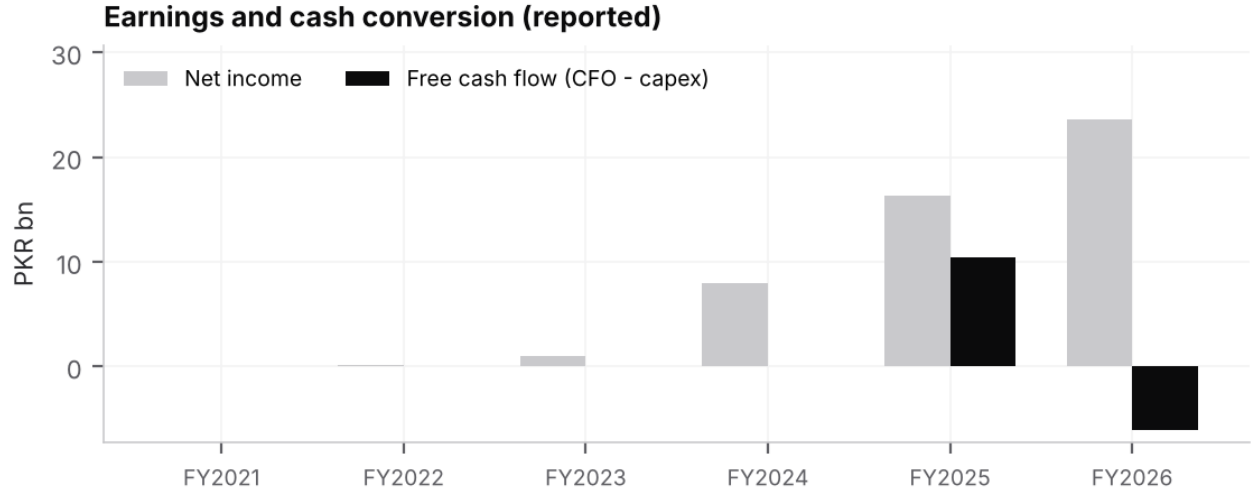
3. Historical financial assessment

	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	4,034	10,274	18,174	57,642	108,693	191,715
growth	n/a	154.7%	76.9%	217.2%	88.6%	76.4%
Gross profit	367	893	2,549	15,646	31,642	46,476
gross margin	9.1%	8.7%	14.0%	27.1%	29.1%	24.2%
Operating income (EBIT)	108	299	1,619	12,452	25,615	36,448
EBIT margin	2.7%	2.9%	8.9%	21.6%	23.6%	19.0%
Net income	76	118	995	7,936	16,336	23,605
Diluted EPS	n/a	n/a	n/a	n/a	270.26	390.51
Cash from operations	(62)	781	1,622	8,963	14,115	9,598
Capex	n/a	n/a	n/a	n/a	(3,733)	(15,637)
Free cash flow	n/a	n/a	n/a	n/a	10,382	(6,038)
FCF / net income	n/a	n/a	n/a	n/a	0.64x	-0.26x
ROIC (NOPAT / avg IC)	3.3%	5.3%	42.9%	294.0%	313.7%	107.1%
Cash & investments	15	173	1,029	7,762	16,596	13,985
Gross debt	549	868	536	360	164	5,267
Total equity	1,840	1,954	2,915	10,104	23,708	43,016

PKR millions except per-share and ratios. Source: issuer annual/quarterly reports filed on PSX (PDF) [EV-0002]; value-level provenance for every value in the workbook 'Provenance' sheet.



Source: issuer annual/quarterly reports filed on PSX (PDF) (history); platform forecast (gold).



Source: issuer annual/quarterly reports filed on PSX (PDF) - cash-flow statements.

Growth has been exceptional but cash conversion poor. Revenue grew from PKR 4,034m (FY21) to PKR 191,715m (FY26) and EBIT margin from 2.7% to 19.0% [EV-0002]. However operating cash flow fell to PKR 9,598m in FY26 from PKR 14,115m as inventory rose to PKR 42,068m and tax payments increased; the 3-year average FCF/net income is only 0.19x and the accruals ratio is 22.7% (computed flags). Capex of PKR 15,637m in FY26 funded the expansion, partly with new diminishing musharakah financing (PKR 5.2bn) [EV-0002, EV-0004]. The balance sheet reconciles in every year (FY21-FY26) and the platform resolved one OCR conflict in the audited profit and loss account (finance cost) using accounting identities (see discrepancy log). Tax is a heavy 39% (29% corporate plus 10% super tax) [EV-0002].

Financial-quality flags (computed)

- Low cash conversion: 3y average FCF/net income 0.19
- High accruals ratio 22.70% (net income materially above CFO)

Reconciliation

31 reconciliation checks passed and 0 failed across 6 fiscal years (balance-sheet identity, revenue-COGS-gross profit, pre-tax-tax-net income, cash-flow roll-forward, EPS). 3 discrepancy log entries (including restatements) - see Appendix C and the workbook.

4. Forecast rationale

Revenue +12% in FY27E (Q1 +23% on mix but four-wheeler units -11.81%), +15% in FY28E as new capacity and models ramp, fading to 7% nominal PKR by FY33E; EBIT margin from 15.0% to 12.5% to reflect competition and tariff erosion; capex at about 5% of revenue for FY27E-FY28E for the PKR 22.00bn plan, then about 2%; depreciation rising from 0.45% to 1.7% of revenue as the expansions are capitalised; tax 39%. All are labelled analyst assumptions with evidence ids in the workbook [EV-0010, EV-0004, EV-0005].

Driver (base)	Yr 1	Yr 7	Rationale (analyst assumption)
Revenue growth	12.0%	7.0%	ANALYST OVERRIDE: Q1 FY27 revenue +23% came from product mix while four-wheeler units fell 11.8% y/y; CBU import duties were cut from July 2026 and the Auto Policy 2026-31 is pending, slowing NEV bookings; three-wheeler units +44.7%. FY27E 12%, FY28E 15% as new capacity (54,000 units p.a. single shift) and models ramp, fading to 7% nominal PKR by FY33E. Historical 3y CAGR (119%) reflects a launch-cycle step change and is not extrapolated [EV-0010, EV-0004]. (Rule-based value replaced: Year 1 anchored on reported year-to-date growth of 23.3% vs prior-year period; then fading linearly from the run-rate 25.0% to 5.5% by the final year (terminal growth 5.0%). Historical 3y CAGR 119.3%, 5y CAGR 116.5%. Historical run-rate 105.9% capped at 25.0% (sector playbook: cyclical business; recent growth not extrapolated).)
EBIT margin	15.0%	12.5%	ANALYST OVERRIDE: Starts near the Q1 FY27 operating margin (14.7%) after the company absorbed the hybrid sales-tax increase (8.5%/12.75% to 18%); fades to 12.5% as new entrants, NEV competition and lower tariff protection (CBU duty cuts) erode pricing. FY25 (23.6%) and FY26 (19.0%) margins are treated as cyclical peaks [EV-0010, EV-0005]. (Rule-based value replaced: Starts at YTD margin 14.7%; fades halfway to the 5y average 15.2% by the final year (mean reversion absent evidence of structural change).)
Effective tax rate	38.9%	39.0%	3y median effective rate 38.9% (bounded to statutory 39.0% +/-10pp), converging to the midpoint with statutory (39.0%) as a prudence assumption on global minimum-tax and rate risk. Statutory rate source: annual report p.244: 'corporation tax rate of 29% (2025: 29%) and super tax at 10%' [EV-0002].
Capex / revenue	5.5%	2.0%	ANALYST OVERRIDE: A new expansion plan with an estimated budget of PKR 22.0bn (paint shop, civil works, ancillary equipment) was approved after completing the PKR 11.5bn four-wheeler expansion; spend assumed over FY27-FY28 (about 5% of revenue), then maintenance capex of about 2% of revenue [EV-0004]. (Rule-based value replaced: Held at the 3y average 5.8%.)
D&A / revenue	0.4%	1.7%	ANALYST OVERRIDE: Depreciation was 0.29% of FY26 revenue on a much smaller asset base; it rises as the completed and approved expansions (about PKR 33bn) are capitalised, converging below maintenance capex (<= 90% of capex) by FY33E [EV-0004]. (Rule-based value replaced: 3y average 0.3% converging to <= 90% of capex (0.3%) so a growing business keeps net investment positive.)
Operating NWC / revenue	3.0%	3.0%	Held at the 3y average 3.0%; a negative value means suppliers/customers fund operations.
Dividend payout (of net income)	17.0%	17.0%	3y average payout 17.0%.

Driver (base)	Yr 1	Yr 7	Rationale (analyst assumption)
Buybacks (% of FCF after dividends)	0.0%	0.0%	Historical buybacks were n/a of net income (3y avg); modelled as 0.0% of free cash flow after dividends (capped at 100%). Buybacks at expected market prices are value-neutral in the DCF; they affect forecast EPS and net cash only.
Yield on cash & investments	12.4%	12.4%	Short-term Treasury yield 12.4% held flat (sourced market rate used as assumption).
Interest rate on gross debt	12.5%	12.5%	Effective rate = last-year interest expense / gross debt = 12.5%. Floored at the government yield 12.5% (a corporate borrower cannot fund below the sovereign).
Net debt issuance / (repayment)	0	0	Gross debt held flat (refinancing at maturity) absent disclosed changes.
Terminal growth		5.0%	Terminal nominal growth 5.0% = min(10y risk-free 6.1%, 5.0% cap).

All forecast values are analyst assumptions generated by versioned rules (methodology/forecasting.yaml); historical inputs are reported values.

	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E
Revenue	214,721	246,929	276,561	304,217	331,597	358,124	383,193
growth	12.0%	15.0%	12.0%	10.0%	9.0%	8.0%	7.0%
EBIT	32,208	36,011	39,179	41,830	44,213	46,258	47,899
EBIT margin	15.0%	14.6%	14.2%	13.8%	13.3%	12.9%	12.5%
Net income	20,330	23,659	26,294	29,054	31,945	34,958	37,956
Diluted EPS	336.33	391.41	435.00	480.66	528.49	578.34	627.93
FCFF	16,132	11,634	17,220	20,445	23,843	25,645	27,329
Free cash flow (CFO - capex)	16,789	13,300	19,589	23,957	28,795	32,364	36,047
Cash & investments (closing)	27,316	36,592	51,708	70,724	94,085	120,503	150,094
BS check (must be 0)	0	0	0	0	0	0	0

PKR millions except per-share. Base scenario. Source: workbook IS/CF/DCF sheets.

5. Valuation analysis and reconciliation

Method selection

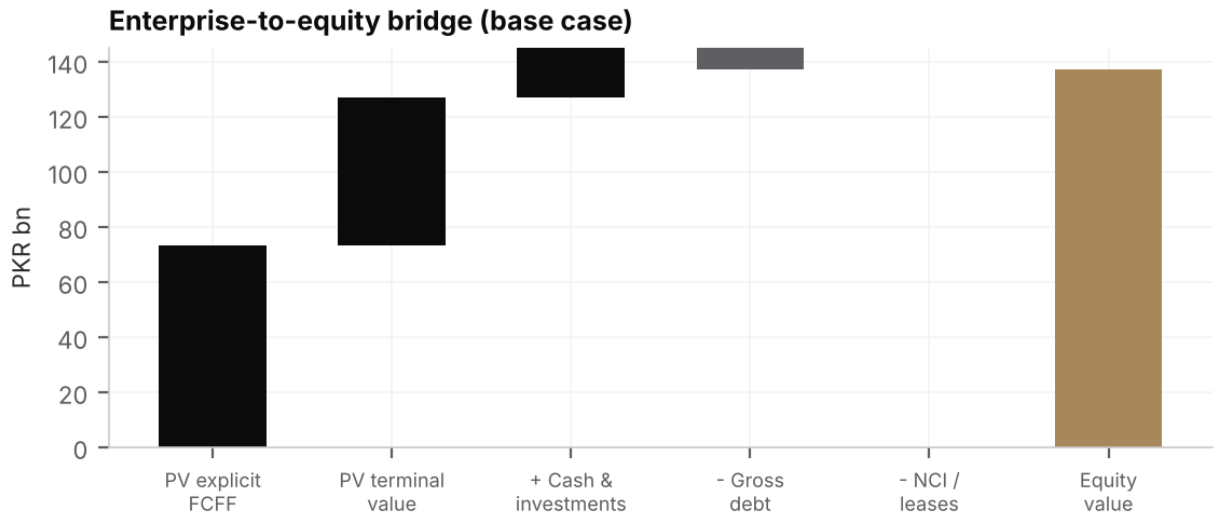
Method	Status	Weight	Value/share	Reason
FCFF discounted cash flow (enterprise)	SELECTED	70%	2,268.41	Values operating assets from unlevered cash flows; preferred where capital structure is separable from operations.
FCFE discounted cash flow	REJECTED	-	-	redundant with FCFF for a firm with stable, low leverage; FCFF preferred (capital structure separable)
Dividend discount model	REJECTED	-	-	payout ratio 17% (3y average) is below 30% (or above 100%): earnings are mostly retained or distributed by buybacks, so a dividend model would understate value
Residual income / excess return on equity	REJECTED	-	-	book value is not the binding value driver for this archetype; used only for financials
Trading comparables	SELECTED	30%	2,335.54	Market cross-check of relative pricing; requires >=3 sufficiently comparable peers with dated market data.
Sum-of-the-parts	REJECTED	-	-	required inputs unavailable: segment_profit_disclosure
NAV / adjusted asset value	REJECTED	-	-	specialist framework for reit, holding_company, resource; not applicable
Reverse DCF (implied expectations)	SELECTED	-	-	States what the current price requires; diagnostic, carries no weight in value.
Precedent transactions	REJECTED	-	-	required inputs unavailable: public_transaction_set
Liquidation / recovery	REJECTED	-	-	specialist framework for distressed; not applicable
FFO / AFFO multiples and NAV	REJECTED	-	-	specialist framework for reit; not applicable
Risk-adjusted NPV	REJECTED	-	-	specialist framework for pre_revenue_biotech; not applicable

Cost of capital

Input	Value	Source / basis
Risk-free rate (PKR, default-spread adjusted)	6.13%	P10FRZ050836 Fixed Rate - Zero Coupon GIS-ReOpening (10.0y) cut-off yield 12.50% (PSX GIS auction 2026-09-18) [EV-0017] less Pakistan default spread 6.37% (Caa1, Damodaran 2026-01-05) [EV-0018]
Equity risk premium (mature market)	4.41%	Damodaran implied ERP 2026-11-01 [EV-0019]
Country risk premium	9.71%	Pakistan CRP, Damodaran ctryprem (2026-01-05; Moody's Caa1) [EV-0018]
Beta (bottom-up, re-levered)	1.29 / 1.29	Damodaran EM 'Auto & Truck' unlevered beta (cash-corrected) 1.22 (89 firms, 2026-01-05) re-levered at market D/E 9.3% and tax 39% [EV-0020]. No Blume adjustment (bottom-up).
Cost of equity	21.51%	CAPM: rf + beta x ERP
After-tax cost of debt	7.62%	Effective rate = last-year interest expense / gross debt = 12.5%. Floored at the government yield 12.5% (a corporate borrower cannot fund below the sovereign).
Weight of equity (market)	91.5%	Price x diluted shares vs book gross debt
WACC	20.33%	Market-value weights; no circularity

DCF summary and enterprise-to-equity bridge (base case)

Item	PKR m / per share
PV of explicit FCFF	73,418
PV of terminal value	53,491
Enterprise value	126,908
+ Cash & investments (latest BS)	18,041
- Gross debt	7,833
- Non-controlling interests	0
- Lease liabilities treated as debt	0
Equity value	137,116
Diluted shares (m)	60.4
Intrinsic value per share (today)	2,268.41
DCF-only 12-month value (value x (1+ke) - dividends); headline target uses reconciled fair value	2,699.19
Terminal value share of EV	42.1%
Implied terminal EV / NTM EBITDA	2.9x



Terminal value: Gordon growth on FCFF with value-driver reinvestment; g 5.0%, RONIC 30.2% (reinvestment rate 16.6%); TV is 42.1% of EV; implied terminal EV/NTM EBITDA 2.9x.

Sensitivity of value per share to WACC and terminal growth

WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
19.3%	2,375	2,393	2,412	2,432	2,454
19.8%	2,305	2,321	2,338	2,356	2,375
20.3%	2,239	2,253	2,268	2,284	2,301
20.8%	2,177	2,190	2,204	2,218	2,233
21.3%	2,119	2,131	2,143	2,155	2,168

Native-formula grid in the workbook 'Sensitivity' sheet; centre equals the base DCF value.

Reverse DCF: what the price requires

Holding margins and reinvestment at base, the price of 1,394.80 implies revenue growth of -2.0% a year over 7 years versus 10.4% in our base case. Holding base growth, the price implies an average EBIT margin of 9.0% versus 13.7% in our base case.

Trading comparables

Ticker	EV/Sales	EV/EBITDA	P/E	Mkt cap (bn)	Price	Price time
INDU	n/m	n/m	5.4x	146	1,851.32	2026-11-02T15:43
HCAR	n/m	n/m	5.9x	28	193.56	2026-11-02T15:49
GHNI	n/m	n/m	6.3x	49	1,160.61	2026-11-02T15:49
HINO	n/m	n/m	11.0x	7	298.76	2026-11-02T15:43

Medians: EV/EBITDA n/m, P/E 6.1x. Target trades at EV/EBITDA n/m, P/E 3.6x. Peer data: PSX data portal quotes (exchange) and summary earnings (Capital Stake, tier 4).

Reconciliation

Fair value estimate 2,288.55 PKR = 70% x FCFF discounted cash flow (enterprise) (2,268.41) + 30% x Trading comparables (2,335.54). Valuation range 1,102.30-3,317.87 spans the bear and bull DCF cases and the comparables cross-check. The 12-month target 2,723.66 rolls fair value forward at the cost of equity less expected dividends; expected total return 99.4%. Present intrinsic value and the 12-month target are distinct.

6. Bull, base, bear and stress cases

Scenario	Definition (vs base)	Value/share	vs price	WACC	g	Prob.
Bull	growth +5.00pp, EBIT margin +2.00pp, WACC -0.25pp, terminal g +0.25pp	3,317.87	137.9%	20.1%	5.3%	25%
Base	base assumptions	2,268.41	62.6%	20.3%	5.0%	50%
Bear	growth -8.00pp, EBIT margin -4.00pp, WACC +0.50pp, terminal g -0.50pp	1,102.30	-21.0%	20.8%	4.5%	25%
Stress	growth -25.00pp, EBIT margin -8.00pp, WACC +2.00pp, terminal g -1.00pp, growth shock years: 2	559.19	-59.9%	22.3%	4.0%	tail test

Probability-weighted value (bear/base/bull): 2,239.25 PKR. Stress case is a tail test, not probability-weighted.

7. Catalysts

Catalyst	Timing	Dependency	Dated by evidence
Announcement of the Auto Policy 2026-31 (tariff differential for CKD vs CBU, NEV incentives)	Pending at 30 September 2026; date not announced	Government decision; outcome determines whether the bear/stress or base/bull case applies	no (estimated)
Monthly production and sales disclosures (four- and three-wheelers) on PSX	Monthly (estimated from filing pattern)	Booking conversion after the policy decision	no (estimated)
Commissioning of the fully automatic paint shop under the PKR 22.00bn expansion plan	Not disclosed	Execution and financing	no (estimated)
Q2 FY27 results (quarter to 31 December 2026)	Estimated late January to February 2027 (not dated by evidence)	Whether margin pressure from absorbed sales tax persists	no (estimated)

8. Risks, thesis-breakers and monitoring

Risk	Transmission to value	Thesis-breaker	Monitor
Loss of tariff protection (CBU duty cuts, Auto Policy 2026-31)	cheaper imported vehicles -> lower local CKD volumes and pricing -> revenue growth and EBIT margin -> FCFF and terminal value (stress case PKR 559)	YES	Auto Policy notification; customs duty schedule; monthly unit sales
Taxes absorbed rather than passed on	higher sales tax on hybrids (8.50%/12.75% to 18%) absorbed -> lower net price -> gross margin	no	Quarterly gross margin; price notices
Working-capital reversal	slower bookings -> lower customer advances and higher inventory -> negative operating cash flow (already visible: Q1 FY27 payables PKR 28,193m vs PKR 30,722m at June 2026; inventory PKR 41,771m) -> funding needs during the PKR 22.00bn capex plan	no	Trade and other payables vs stock-in-trade each quarter
PKR depreciation and CKD supply	weaker PKR or LC restrictions -> higher kit cost or production stoppage -> gross margin and volumes	no	PKR/USD; SBP import regulations; plant shutdown notices
Competitive entry and NEV shift	new entrants and price competition -> market share and discounts -> volume and margin	no	Industry sales (PAMA/RAMA) vs company units
Governance and capital allocation	non-core land purchases or related-party transactions -> cash diverted from operations -> lower FCFE to minorities	no	Related-party note; capex breakdown; pattern of shareholding

Impact matrix

Factor	Materiality	Evidence	Prob.	Timeframe	Model variables	Evidence ids
Auto Policy 2026-31 / CBU tariff differential	HIGH	STRONG	not quantifiable from evidence	0-12 months	revenue_growth, ebit_margin	EV-0010
Sales-tax rate on hybrid vehicles	MEDIUM	STRONG	already in effect	current	ebit_margin	EV-0010
Four-wheeler unit trend vs industry	HIGH	MODERATE	observed in Q1 FY27	0-12 months	revenue_growth, ebit_margin	EV-0010
PKR exchange rate	MEDIUM	MODERATE	not assessed	ongoing	ebit_margin	EV-0007
Policy rate and auto financing	MEDIUM	MODERATE	policy rate held at 11.50% in Q1 FY27	0-24 months	revenue_growth, wacc	EV-0010
Expansion capex and funding (PKR 22.00bn plan)	MEDIUM	STRONG	approved	FY27-FY28	capex_pct, growth	EV-0004
Country risk (Pakistan, Caa1)	HIGH	STRONG	structural	ongoing	wacc	EV-0018

Transmission mechanism for each factor is stated in the risk table: exposure -> operational effect -> line item -> value.

9. Counter-thesis

The strongest case against our view: SAZEW's earnings are a policy artefact: CKD assemblers enjoyed a protected market, and with CBU duties cut from July 2026 and an Auto Policy that may further reduce protection, imported vehicles and new Chinese entrants could compress local volumes and margins far below our base case. Q1 FY27 already shows four-wheeler units -11.81%, margin pressure from absorbed taxes, weak cash conversion (FCF/net income 0.19x) and an inventory of PKR 41,771m that could need discounting. On this view peak-cycle earnings deserve a 3-4x multiple and the stock is fairly priced or expensive. The early warning is already visible: in Q1 FY27 trade and other payables (largely customer advances) fell to PKR 28,193m from PKR 30,722m while stock-in-trade stayed at PKR 41,771m, and trailing-twelve-month operating cash flow turned negative (PKR -1,584m) [EV-0003].

Evaluation: The counter-thesis is credible and is the main reason confidence is only MEDIUM. Evidence supports parts of it: unit decline, tax absorption, shrinking customer advances against a flat inventory and negative trailing operating cash flow [EV-0010, EV-0003], plus management's own warning about local production [EV-0010]. Against it: revenue still grew in Q1, the company holds net cash of about PKR 10.2bn, carries an A+ rating and has new PHEV/HEV CKD models [EV-0027, EV-0003], and our base case already assumes margins well below FY26. The working-capital evidence lowers our confidence in FY27E cash flow but not the base-case value materially, because the DCF already

includes PKR 6bn+ of NWC build over the horizon (interpretation). The stress case (growth -25pp for two years, margin -8pp) gives PKR 559 and quantifies the downside if the counter-thesis proves right.

10. Governance and capital allocation

Free float is 35% (21,156,087 shares) [EV-0001], so control rests with the sponsors; the CEO (Mian Asad Hameed), the chairperson (Mrs. Saira Asad Hameed) and the COO of the car division (Mian Muhammad Ali Hameed) share the family name [EV-0027] - a related-party and succession question we could not test further (evidence gap: pattern of shareholding and related-party note not analysed). Dividends rose to PKR 70 per share for FY26 (payout about 18%) and an interim PKR 5 was declared for Q1 FY27 [EV-0002, EV-0010]. Capital allocation is mostly reinvestment in capacity, but the purchase of two commercial plots in Lahore (Pine Avenue and CBD) is non-core and warrants scrutiny [EV-0027].

	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Dividends paid	n/a	n/a	n/a	n/a	(2,644)	(4,210)
Share repurchases	n/a	n/a	n/a	n/a	n/a	n/a
Acquisitions	n/a	n/a	n/a	n/a	n/a	n/a
Capex	n/a	n/a	n/a	n/a	(3,733)	(15,637)
Stock-based compensation	n/a	n/a	n/a	n/a	n/a	n/a
Diluted shares (m)	46	60	60	60	60	60

PKR millions. Source: issuer annual/quarterly reports filed on PSX (PDF) [EV-0002].

11. Evidence gaps, confidence and quality gates

Confidence: MEDIUM. Historical financials are audited, cross-checked between documents and reconcile; cost-of-capital inputs are sourced and dated. Confidence is limited by a near-binary policy decision, a weakening Q1 trend in four-wheelers, poor cash conversion and the evidence gaps listed.

- No dated Auto Policy 2026-31 text or tariff schedule was retrieved; the policy outcome is unknown.
- No monthly industry (PAMA) or company unit series was analysed beyond the Q1 FY27 report; the retrieved monthly production/sales disclosures were image PDFs without extractable text.
- Pattern of shareholding, related-party transactions and remuneration were not analysed.
- No sourced broker consensus for PSX autos was accessible; none is used.
- Price history from PSX is not available to non-browser clients, so beta is bottom-up (Damodaran EM Auto & Truck) rather than a regression.
- Country risk data (Damodaran) is dated 5 January 2026.

Quality gates

Gate	Severity	Status	Detail
G01 Security resolved unambiguously	critical	VERIFIED	PSX: SAZEW via PSX data portal company page [EV-0001]; exchange PSX
G02 Historical financials traceable to tier-1 sources	critical	VERIFIED	196/196 historical values carry document-level provenance (issuer annual/quarterly reports filed on PSX (PDF)) [EV-0002]
G03 Historical coverage >= 5 fiscal years (or all available, disclosed)	major	VERIFIED	6 fiscal years of annual history
G04 Balance-sheet identity holds in every historical year	critical	VERIFIED	6 pass, 0 fail, 0 not testable (missing totals)
G05 Cash-flow statement reconciles to change in cash	major	VERIFIED	1 pass, 0 fail
G06 Income-statement subtotals consistent	major	VERIFIED	14 pass, 0 fail (differences logged)
G07 Forecast balance sheet balances / schedules consistent	critical	VERIFIED	max |net assets - capital| = 0.000000m (engine); workbook checks: PASS
G08 Enterprise-to-equity bridge and share count reconcile	critical	VERIFIED	EV + cash - debt - NCI - leases = equity; per-share x shares = equity; share count from cover page 60,445,961 as of 2026-11-02
G09 Critical market inputs sourced, dated and fresh	critical	QUALIFIED	sourced EV-0001, EV-0017, EV-0019; stale: risk-free 2026-09-18, country risk premium 2026-01-05 (301d; source updates semi-annually)

Gate	Severity	Status	Detail
G10 Valuation sanity (TV share, implied multiples, terminal ROIC, g < rf)	major	VERIFIED	TV share 42.1%, g 5.0% < rf 6.1%, terminal EV/EBITDA 2.9x (range 1.5-20x), RONIC 30.2% >= WACC 20.3%
G11 Sensitivity directions economically consistent	major	VERIFIED	value falls with WACC (+269.10), rises with g (+62.19); bear<=base<=bull; margin/growth grid monotonic: True
G12 Workbook recalculated by an independent engine and matches engine	critical	VERIFIED	LibreOffice recalculated 1400 formula/input cells; 0 mismatches vs engine
G13 Workbook free of formula errors	critical	VERIFIED	0 error cells
G14 Report numbers match workbook	critical	VERIFIED	12/12 key figures found in report/summary text; workbook dashboard matches engine: True
G15 Source register complete; every material input cited	major	VERIFIED	27 sources registered; 14 distinct ids cited in narrative; unknown ids: none
G16 Stale-data flags reviewed	minor	QUALIFIED	stale: risk-free 2026-09-18, country risk premium 2026-01-05 (301d; source updates semi-annually)
G17 Rendered PDFs and representative sheets visually inspected	major	VERIFIED	tables within frame: True; summary pages 2 (<=2: True); 22 page images rendered for review; reviewed by Claude (agent reviewer, this session): Inspected all 13 report pages, both summary pages and workbook renders (Dashboard, Assumptions, IS). Fixed during review: false precision on cover/KPI strip, overlapping chart labels, zero-width comps
G18 Independent critique completed and findings resolved or disclosed	major	VERIFIED	deterministic critique 3 findings; model critique ran: 4 findings; unresolved critical: 0
G19 Qualitative synthesis performed by an inference model with cited evidence	major	VERIFIED	synthesis by provider 'agent_handoff', revised 1x

Independent critique

Deterministic critics raised 0 critical, 0 major and 3 minor findings; the independent model critic raised 4 findings. One revision round was performed. Model critic findings and disposition: [major] counter_thesis.argument / risks: working-capital reversal: Add the Q1 movement in payables vs inventory to the counter-thesis and the working-capital risk, citing EV-0003, and say; [major] trading_comps value PKR 2,336 (30% weight): State in the valuation discussion that the P/E cross-check is on peak trailing earnings and that a normalised-earnings m; [minor] headline 'about PKR 2,289': Lead with the range and the probability-weighted value; present PKR 2,289 as the central estimate.; [minor] industry_analysis 'implying share loss': No change required beyond keeping the label. - addressed in the revised synthesis. Unresolved findings: none.

Appendix A. Methodology

- Methodology is version-controlled in methodology/ (fingerprint ed6f8799442bd3c0): source policy, normalization rules, valuation selection, forecasting/scenario framework, cost of capital, quality gates, critique checklists.
- Historical data: issuer annual report (audited statements; six-year summary for earlier years) and latest quarterly report, downloaded from the PSX data portal; PDF tables parsed by column position, OCR artefacts normalised, conflicts between documents resolved by accounting identities and logged.
- Forecast: driver-based (growth, EBIT margin, tax, D&A, capex, NWC, payout, buybacks); every assumption labelled with rationale.
- DCF: FCFF, mid-period discounting from the valuation date; only cash flows after the latest balance-sheet date are counted; terminal value by value-driver formula FCFF = NOPAT x (1 - g/RONIC).
- Cost of capital: PKR CAPM: GoP Ijarah Sukuk yield (PSX auction) minus Pakistan default spread, plus bottom-up beta x mature ERP, plus Pakistan country risk premium (Damodaran); market-value weights.
- Verification: workbook formulas recalculated in LibreOffice and compared with the engine; report numbers compared with the recalculated workbook; rendered pages inspected.
- Judgment tasks (synthesis, critique) use the configured inference model (agent_handoff). Storing methodology outside the model does not remove the need for one.

Appendix B. Source notes

Id	Source	Tier	Published / period	Retrieved (UTC)
EV-0001	PSX data portal - company page SAZEW - Pakistan Stock Exchange (quote: exchange; summary financials: Capital Stake) <https://dps.psx.com.pk/company/SAZEW>	1	2026-11-02T15:49:00+05:00	2026-11-02T20:10:31
EV-0002	Annual report: Transmission of Annual Report for the Year Ended June 30, 2026 (2026-09-04) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/282274.pdf>	1	2026-09-04	2026-11-02T20:10:34
EV-0003	Quarterly report: Transmission of Quarterly Report for the Period Ended September 30, 2026 (2026-10-29) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/287650.pdf>	1	2026-10-29	2026-11-02T20:10:36
EV-0004	Annual report - Directors' report - business and operations review (pp. 5, 61, 65, 144, 146, 158) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/282274.pdf>	1	2026-09-04	2026-11-02T20:10:34
EV-0005	Annual report - Chairman's review / outlook (pp. 21, 65, 157, 273) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/282274.pdf>	1	2026-09-04	2026-11-02T20:10:34
EV-0006	Annual report - Business model, market share and competition (pp. 5, 21, 33, 35) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/282274.pdf>	1	2026-09-04	2026-11-02T20:10:34
EV-0007	Annual report - Principal risks and opportunities (pp. 5, 11, 17, 21) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/282274.pdf>	1	2026-09-04	2026-11-02T20:10:34
EV-0008	Annual report - Governance, related parties and capital structure (pp. 6, 64, 67) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/282274.pdf>	1	2026-09-04	2026-11-02T20:10:34
EV-0009	Annual report - Segment information and contingencies (pp. 181, 222, 232) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/282274.pdf>	1	2026-09-04	2026-11-02T20:10:34
EV-0010	Quarterly report - directors' review (pp. 11, 12) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/287650.pdf>	1	2026-10-29	2026-11-02T20:10:36
EV-0011	Corporate briefing: DISSEMINATION OF VIDEO RECORDING OF CORPORATE BRIEFING SESSION (CBS) (2026-09-29) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/283807.pdf>	1	2026-09-29	2026-11-02T20:11:20
EV-0012	Financial results announcement: SAZEW | Sazgar Engineering Works Limited - Financial Results for the quarter ended 2026-09-30 (2026-10-27) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/attachment/286962-1.pdf>	1	2026-10-27	2026-11-02T20:11:22
EV-0013	Financial results announcement: SAZEW | Sazgar Engineering Works Limited - Financial Results for the quarter ended 2026-09-30 (2026-10-27) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/attachment/286962-1.pdf>	1	2026-10-27	2026-11-02T20:11:22
EV-0014	Company disclosure: Production and Sales data regarding Four Wheelers and Three Wheelers for the months of August & September 2026 (2026-10-06) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/284743.pdf>	1	2026-10-06	2026-11-02T20:11:40
EV-0015	Company disclosure: Material Information (2026-10-06) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/284740.pdf>	1	2026-10-06	2026-11-02T20:11:41
EV-0016	Company disclosure: Material Information (2026-09-25) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/283434.pdf>	1	2026-09-25	2026-11-02T20:11:42
EV-0017	PSX - GoP Ijarah Sukuk auction results - Pakistan Stock Exchange / Government of Pakistan <https://dps.psx.com.pk/gis-auction-results>	2	2026-09-18	2026-11-02T20:11:42
EV-0018	Damodaran Online - country default spreads and risk premiums - A. Damodaran, NYU Stern <https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ctryprem.html>	3	2026-01-05	2026-11-02T20:11:43
EV-0019	Damodaran Online - current implied ERP - A. Damodaran, NYU Stern <https://pages.stern.nyu.edu/~adamodar/New_Home_Page/home.htm>	3	2026-11-01	2026-11-02T19:12:47
EV-0020	Damodaran Online - emerging-market industry betas - A. Damodaran, NYU Stern <https://pages.stern.nyu.edu/~adamodar/pc/datasets/betaemerg.xls>	3	2026-01-05	2026-11-02T20:11:43
EV-0021	PSX data portal - company page INDU - Pakistan Stock Exchange (quote: exchange; summary financials: Capital Stake) <https://dps.psx.com.pk/company/INDU>	1	2026-11-02T15:43:00+05:00	2026-11-02T20:11:44

Id	Source	Tier	Published / period	Retrieved (UTC)
EV-0022	PSX data portal - company page HCAR - Pakistan Stock Exchange (quote: exchange; summary financials: Capital Stake) <https://dps.psx.com.pk/company/HCAR>	1	2026-11-02T15:49:00+05:00	2026-11-02T20:11:45
EV-0023	PSX data portal - company page PSMC - Pakistan Stock Exchange (quote: exchange; summary financials: Capital Stake) <https://dps.psx.com.pk/company/PSMC>	1	2024-04-25T16:06:00+05:00	2026-11-02T20:11:46
EV-0024	PSX data portal - company page GHNI - Pakistan Stock Exchange (quote: exchange; summary financials: Capital Stake) <https://dps.psx.com.pk/company/GHNI>	1	2026-11-02T15:49:00+05:00	2026-11-02T20:11:48
EV-0025	PSX data portal - company page HINO - Pakistan Stock Exchange (quote: exchange; summary financials: Capital Stake) <https://dps.psx.com.pk/company/HINO>	1	2026-11-02T15:43:00+05:00	2026-11-02T20:11:49
EV-0026	Corporate briefing: PRESENTATION OF CORPORATE BRIEFING SESSION (CBS) (2026-09-24) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/283385.pdf>	1	2026-09-24	2026-11-02T20:14:55
EV-0027	Corporate briefing: PRESENTATION OF CORPORATE BRIEFING SESSION (CBS) (2026-09-24) - Issuer via Pakistan Stock Exchange <https://dps.psx.com.pk/download/document/283385.pdf>	1	2026-09-24	2026-11-02T20:14:55

Appendix C. Discrepancy log

Type	Period	Item	Resolution
definition	FY2025	pretax_income	Presentation difference, not an error: the six-year summary combines the levy with taxation; the audited statement shows it separately. Canonical pre-tax is before levy; tax includes levy (both sources then agree).
definition	FY2025	income_tax	Presentation difference, not an error: the six-year summary combines the levy with taxation; the audited statement shows it separately. Canonical pre-tax is before levy; tax includes levy (both sources then agree).
source_conflict	FY2026	interest_expense	Candidates: audited statements p.223: -454,205,548 (token '(454,205,548)'); six-year summary (company-prepared, unaudited presentation) p.99: -454,205,648 (token '(454,205,648)'). Used -454,205,648 from six-year summary (company-prepared, unaudited presentation) p.99 because it satisfies 1 accounting identity (likely OCR misread in the other source).